

SENATE No. 3048

The Commonwealth of Massachusetts

In the One Hundred and Ninety-Fourth General Court
(2025-2026)

SENATE, April 15, 2026.

The committee on Financial Services, to whom was referred the petitions (accompanied by bill, Senate, No. 707) of John J. Cronin, Joanne M. Comerford, Peter J. Durant, Patricia D. Jehlen and other members of the Senate for legislation relative to prevent fraud and establish regulations on certain virtual currencies; and (accompanied by bill, Senate, No. 757) of Barry R. Finegold for legislation to establish regulations on certain virtual currencies for fraud prevention, report the accompanying bill (Senate, No. 3048).

For the committee,
Paul R. Feeney

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An Act to stop cryptocurrency ATM misuse ("SCAM" Act).

Be it enacted by the Senate and House of Representatives in General Court assembled, and by the authority of the same, as follows:

1 The General Laws, as appearing in the 2022 Official Edition, are hereby amended by
2 inserting after Chapter 167J the following new chapter:-

3 Chapter 167K Regulation of Virtual Currency Kiosks

4 Section 1. As used in this chapter, the following words shall, unless the context clearly
5 requires otherwise, have the following meanings:

6 “Person”, an individual, firm, fiduciary, partnership, corporation, trust or association,
7 however formed, or a club, trustee, agency or receiver.

8 "Virtual currency kiosk", an electronic terminal acting as a mechanical agent of the
9 virtual currency kiosk operator to enable the virtual currency kiosk operator to facilitate the
10 exchange of virtual currency for money, bank credit, or other virtual currency, including but not
11 limited to by (1) connecting directly to a separate “virtual currency exchange” that performs the

actual virtual currency transmission, or (2) drawing upon the virtual currency in the possession of the electronic terminal's operator.

“Virtual-currency kiosk operator”, a person or entity that engages in virtual-currency business activity via a money transmission kiosk located in the commonwealth or a person or entity that owns, operates, or manages a money transmission kiosk located in the commonwealth through which virtual-currency business activity is offered.

Section 2. (a) A virtual currency kiosk operator may not operate a virtual currency kiosk in the commonwealth of Massachusetts.

(b) A violation of subsection (a) is deemed to be in violation of section 2 of Chapter 93A of the general laws.

(c) The attorney general is hereby granted the authority to bring action under subsection (b) pursuant to Chapter 93A against the following:

(1) The virtual currency kiosk operator

(2) The owner of the premises on which the virtual currency kiosk is located, if the owner knowingly or intentionally permitted the virtual currency kiosk to be on the premises.

(d) If a court finds that a person has knowingly or intentionally operated 1 or more virtual currency kiosks in the commonwealth in violation of this chapter, the court may, in addition to any other penalty imposed under Chapter 93A, order the following:

(1) That the person forfeit the amount of any charges that were collected by the person from users of the virtual currency kiosks or kiosks during the period in which the person operated the virtual currency kiosk of kiosks in violation of this chapter.

33 (2) That the person forfeit any virtual currency kiosk that is owned by the person and
34 located in the commonwealth.

35 (3) That the person pay to the attorney general all costs associated with the investigation
36 of the violation.

37 Section 4. This act shall take effect upon its passage.